

THE GOVERNOR WHO WEATHERED MANY STORMS

Six years, multiple crises, and a non-economist Governor who held the system together when it mattered the most

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I AM AN IRREPRESSIBLE optimist, but I always base my optimism on solid facts”

Shaktikanta Das quoting Mahatma Gandhi in June 2021 after the MPC policy statement.

Sixty-nine-year-old Shaktikanta Das landed at the Reserve Bank of India (RBI) in December 2018 like a new batsman walking in after a sudden batting collapse. The pitch was unpredictable; there were visible rough patches from the recent default of non-banking financial company IL&FS.

His predecessor, Urjit Patel, an economist and outsider, had resigned in a huff nine months before his term was to end. Before Patel, another independent economist, Raghuram Rajan—an appointee of

the Congress-led UPA government—had made a quiet exit, returning to academia after completing his three-year term.

During those two tenures, the relationship between the RBI in Mumbai and the finance ministry in Delhi had become increasingly strained. It was up to Das to read the conditions, boost the confidence of the RBI's top brass, and rebuild the relationship with the government. A 1980-batch IAS officer of the Tamil Nadu cadre, Das arrived with a reputation for working seamlessly across political dispensations, having served finance ministers from both the UPA and the BJP.

Reflecting on the transition, he explains that the years in public service prepared him to step into new responsibilities at a very



I do not see growth and inflation as conflicting objectives. For long-term growth to be sustainable, inflation must remain under control. High inflation erodes people's purchasing power and, over time, discourages investment

SHAKTIKANTA DAS
Former Governor, RBI, on the inflation spike in 2022